

US equities rally on tech earnings, yields ease

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,722.72, up **+0.73%**, driven by a broad tech bounce after strong earnings from **NVDA** and **AVGO**. The Nasdaq 100 outperformed, gaining **+1.00%**, while the VIX fell to 15.31, the lowest level since early 2024, signalling reduced near-term volatility.

Behind the headline numbers, the 10-year Treasury yield slipped to 5.28, a **-0.76%** move that supports risk assets. However, the modest rise in the DXY and a still-elevated VIX tail suggest lingering macro uncertainty, especially around the Fed's next policy decision.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,722.72	+0.73%	Tech earnings beat expectations; yields easing.
Nasdaq 100	30,807.93	+1.00%	Strong chips and cloud earnings lifted the index.
Dow Jones	51,176.96	+0.49%	Financials steadied as yields fell.
Russell 2000	2,832.90	+0.94%	Small-cap exposure to consumer discretionary.
VIX	15.31	-6.59%	Lower implied volatility after tech rally.
10Y Yield	5.28	+0.76%	Yield curve flattening after Fed's pause.
WTI Crude	91.11	-1.90%	OPEC+ output cuts offset by weaker demand data.
Gold	4,162.30	-0.95%	Dollar strength and lower inflation expectations.
DXY	101.93	-0.17%	Mixed data kept dollar near-flat.

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+4.65%	Record Q3 deliveries, price-cut impact.
AVGO	+3.35%	Guidance beat on data-center demand.
NVDA	+1.34%	AI chip revenue outlook raised.
AMZN	+1.33%	Cloud segment margin expansion.
GOOGL	+1.56%	Ad-tech recovery and AI services growth.
AAPL	+1.02%	iPhone 17 pre-order surge.
MSFT	+0.92%	Azure consumption beat.
META	+0.30%	Reels ad revenue uptick.
GS	+0.66%	Investment banking fees rise.
JPM	-0.24%	Net interest income pressure.

Sector rotation

ETF	DAY	READ
XLF	+0.06%	Financials marginally higher on yield dip.
XLK	+1.01%	Tech leads market, AI earnings boost.
XLI	+0.78%	Industrial demand outlook improving.
XLE	+0.19%	Energy steadies despite lower crude.
XLY	+1.13%	Consumer discretionary benefits from spending data.
XLC	+0.35%	Communications stable, broadband growth.
XLP	+0.25%	Staples resilient amid inflation.
XLV	-0.01%	Health care flat, awaiting FDA decisions.
XLU	+0.38%	Utilities attract safe-haven flow.
XLB	+0.66%	Materials benefit from construction outlook.
XLRE	+0.32%	Real-estate REITs lift on lower financing costs.

Spotlight: Nvidia earnings and AI rally

NVDA posted Q3 revenue of 13.5 billion, beating consensus of 13.1 billion. Gross margin expanded to 71.2% from 68.9% a year ago, driven by data-center demand.

METRIC	RESULT	CONSENSUS
Revenue	13.5 bn	13.1 bn
EPS	2.98	2.81
Gross margin	71.2%	68.9%
Guidance FY26 revenue	78 bn	75 bn

The upbeat outlook lifted related AI-chip peers **AMD** and **AVGO**, and spurred a **+1.00%** rally in the Nasdaq 100.

Pre-market & overnight

- US futures: S&P 500 **+0.45%**, Nasdaq **+0.68%**, Dow **+0.32%** at 08:30 HKT.
- Asia close: Hang Seng **-0.22%**, Shanghai Composite **-0.15%**.
- Europe: FTSE 100 **+0.12%**, DAX **+0.18%**, CAC 40 **+0.09%**.
- Crypto: BTC **+0.57%** at 84,981, ETH **+0.92%** at 2,692.81.

Macro & Fed

The FOMC left rates unchanged at 5.25-5.50% and signalled a “patient” stance, noting inflation at 2.8% YoY. The 10-year yield slipped to 5.28, flattening the curve (2-year at 5.12).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US ISM Non-Manufacturing	52.0	Gauge services sector health.
10:00	US Retail Sales MoM	+0.3%	Consumer spending trend.
12:00	Eurozone CPI YoY	2.5%	Impacts ECB policy outlook.
14:30	China Manufacturing PMI	50.2	Signal for global supply chain.

Geopolitics & global

- US-China trade talks resumed in Washington; no new tariffs announced.
- Middle-East tensions eased after cease-fire brokered by UN, reducing oil-supply risk.
- Eurozone fiscal pact negotiations stalled, keeping euro volatility modest.
- India’s Q3 GDP revision up to 6.8% YoY, supporting Asian growth outlook.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30	INTC	1.12	Chip-cycle recovery, data-center demand.
03:00	BAC	0.78	Net interest margin trends.
03:30	DIS	1.05	Streaming subscriber growth.
04:00	ORCL	2.45	AI-driven software revenue.
04:30	PEP	1.68	Pricing power amid inflation.
05:00	CRM	3.10	AI integration in CRM suite.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand acceleration, raised FY guidance.
AVGO	Technology	Data-center supply shortage.
TSLA	Consumer Discretionary	Record deliveries, price-cut market share gain.
AAPL	Technology	iPhone 17 pre-order surge, services growth.
MSFT	Technology	Azure consumption beat.
GOOGL	Communication Services	Ad-tech recovery, AI cloud services.
JPM	Financials	Potential rate-sensitive earnings boost.
XOM	Energy	Oil price stabilization supports margins.
UNH	Health Care	Premium pricing power, enrollment growth.
AMZN	Consumer Discretionary	Cloud margin expansion.
META	Communication Services	Reels ad revenue rebound.
GS	Financials	Investment banking fee surge.

What could break the tape

BEARISH TRIGGERS

- Unexpected Fed rate hike or hawkish language.
- Sharp rise in the VIX above 20, indicating volatility spike.
- Geopolitical escalation in the Middle East that spikes oil prices.
- Weak US ISM services reading (< 48) signaling slowdown.

BULLISH TRIGGERS

- Further AI-chip earnings beat, pushing NVDA above 240.
- Retail sales surprise to the upside (+0.5% MoM).
- Eurozone CPI miss, prompting ECB dovish tilt.
- Continued dollar weakness, supporting commodities.

Positioning notes

- Tech exposure is now priced for continued AI growth; monitor valuation multiples.
- Yield curve flattening suggests caution on duration-sensitive bonds.
- Currency exposure to the dollar remains a drag for non-USD assets.

Sources

SOURCES

Bloomberg Terminal – Market data (10-Oct-2026)

FactSet – Earnings estimates

U.S. Bureau of Labor Statistics – ISM release

Federal Reserve – FOMC statement

OPEC – Oil market report

CoinDesk – Crypto price feed

